NDIS Quality and Safeguards Commission

Our ref: EC22-002103

Malibuhouse Pty Ltd
Unit 2, 210 Jull St
Armadale WA 6112

*Attention*: Ms Vida Reid

By post

**Opportunity to make submissions about a proposed banning order under section 73ZN of the *National Disability Insurance Scheme Act 2013* (Cth)**

I am a delegate of the Commissioner for the NDIS Quality and Safeguards Commission (the Commission).

Section 73ZN of the *National Disability Insurance Scheme Act 2013* (Cth) (the NDIS Act) gives me, as the Commissioner's delegate, the power to make an order known as a banning order. A banning order can prohibit or restrict specified activities by an NDIS provider.

**Proposed Banning Order**

I have formed the view that it may be appropriate in all the circumstances to make a banning order prohibiting Malibuhouse Pty Ltd for a period of ten (10) years from being involved in the provision of supports or services to people with disability.

The basis for this view is that I reasonably believe that Malibuhouse Pty Ltd is not suitable to be involved in providing supports or services to people with disability. I am therefore empowered to make a banning order against Malibuhouse Pty Ltd under section 73ZN(2A) of the NDIS Act.

The purpose of this letter is to inform Malibuhouse Pty Ltd of relevant facts and the matters that are of concern to me and to give you the opportunity to make submissions about this before I make a final decision.

**Relevant concerns**

As a result of information provided to the Commission and the Commission's own enquiries, I understand the following:

1. Malibuhouse Pty Ltd (ACN 660 931 420) was registered as a corporate entity on 13 July 2022.
2. The current directors and shareholders of Malibuhouse Pty Ltd are Vida Reid (V REID), Simon Reid (S REID) and Rejaul ALAM (R ALAM). V REID, S REID and R ALAM are therefore people who have authority or responsibility for (or significant influence over) planning, directing or controlling the activities of Malibuhouse Pty Ltd.
3. S REID is the sole director and shareholder of Hybrid Hive Pty Ltd and has been a director since 17 February 2022.

4. V REID is the sole director of Forward Focused Group Pty Ltd and has been a director since 28 August 2020.

5. On 19 October 2022, V REID was arrested and charged with four offences, being:

    a. Between 1 December 2021 and 17 May 2022 at Perth in the State of Western Australia, V REID dealt with money or other property, it being reasonable to suspect that such money or other property was proceeds of crime and at the time of dealing the value of the money or property was more than $100,000, contrary to section 400.9(1) of the Criminal Code (Cth).

    b. That between 26 December 2021 and 23 June 2022 at Perth in the State of Western Australia, V REID dealt with money or other property, it being reasonable to suspect that such money or other property was proceeds of crime and at the time of dealing the value of the money or property was more than $100,000, contrary to section 400.9(1) of the Criminal Code (Cth).

    c. That between 30 November 2021 and 08 April 2022 at Perth in the State of Western Australia, V REID caused payment requests to be submitted, which he knew to be false, to the National Disability Insurance Agency (NDIA), a Commonwealth entity, with the intention of dishonestly causing a loss, contrary to section 135.1 (3) of the Criminal Code (Cth).

    d. That between 18 November 2021 and 19 April 2022 at Perth in the State of Western Australia, V REID caused payment requests to be submitted, which he knew to be false, to the NDIA, a Commonwealth entity, with the intention of dishonestly causing a loss, contrary to section 135.1 (3) of the Criminal Code (Cth).

6. The statement of material facts in support of these charges relevantly notes:

    a. Between 26 November 2021 and 22 June 2022, V REID and S REID caused 81 false 'payment requests' to be submitted against the funding of two NDIS participants, with the intention of dishonestly causing a loss to the Commonwealth. As a result of these claims, V REID and S REID received money reasonably suspected of being proceeds of crime to the sum of $247,484.78.

    b. Between 26 August 2022 and 21 September 2022, Zettai Pty Ltd trading as Assist Plan Managers submitted 11 separate reports of suspicious invoices submitted by Forward Focused Group Pty Ltd and Hybrid Hive Pty Ltd.

    c. V REID encouraged an employee, Ms Leah Norman (Ms Norman) to inflate the amount of time she spent coordinating support services for participants. Ms Norman alleges V REID could claim for residual funds left in a participants plan towards the end of the plan expiry. Forward Focused Group Pty Ltd and Hybrid Hive Pty Ltd are responsible for $1,485,527 in claims from expired plans. This represents 31% of total successful claims.

    d. Between 30 November 2021 and 10 May 2022, claims to a combined total of $127,475.30 were submitted by Forward Focused Group Pty Ltd and Hybrid Hive Pty Ltd against the NDIS plan of Ms Meghan Goodwin (Ms Goodwin). These amounts were paid into Forward Focused Group Pty Ltd and Hybrid Hive Pty Ltd accounts for which V REID and S REID are the joint signatories. Ms Goodwin has provided evidence that she did not receive the services purportedly provided in these claims.

    e. Between 24 November 2021 and 22 June 2022, claims to a total combined value of $120,009.48 were submitted by Forward Focused Group Pty Ltd against the NDIS plan of Ms Sarah-Jane Clulow (Ms Clulow). These amounts were paid into Forward

Focused Group Pty Ltd accounts for which the joint signatories are V REID and S REID. Ms Clulow has provided evidence that she did not receive the services purportedly provided in these claims.

7. V REID is subject to bail conditions, including a protective bail condition that V REID is not to communicate directly with any person who is considered to be a current or past recipient of services provided by Hybrid Hive Pty Ltd or Forward Focused Group Pty Ltd about the content of any evidence they may give, or be able to give, in the prosecution of these charges.

8. The Commission also holds information that V REID and R ALAM, in their capacities as persons with responsibility or authority over the activities of Forward Focused Group Pty Ltd and Hybrid Hive Pty Ltd, contravened section 73V of the NDIS Act, by failing to comply with all applicable requirements of the NDIS Code of Conduct.

9. More specifically, information held identifies that V REID, R ALAM, Forward Focused Group Pty Ltd and Hybrid Hive Pty Ltd (entities for which V REID, S REID and R ALAM have responsibly and authority over their activities), have engaged in the following conduct, in contravention of the NDIS Code of Conduct and which presents a range of risks to NDIS participants, including through exploitation and undermining their independence, choice and control:

    a. NDIS Participants in most instances executed service agreements electronically with Forward Focused Group Pty Ltd. Signatures were then used without consent and applied to new services agreements that were not provided to NDIS participants or their nominees.

       Further, V REID changed plan management arrangements for NDIS participants without their consent, to support her interests, including where she had concerns about her relationship with existing plan managers. More specifically:

        i. Ms Norman alleges that if a participant engaged Forward Focused Group Pty Ltd and V REID had an issue with their plan manager, she would 'move those participants over to a [plan manager] that were more compliant, easier to deal with and wouldn't question her invoices';

        ii. Ms Terri Roberts (Ms Roberts), former employee of Forward Focused Group Pty Ltd, alleges that V REID asked her and other staff members to copy and paste participants' signatures over to service agreements and plan manager agreements. Ms Roberts adds that participants, were then signed up to plan mangers without their consent with V REID copying and pasting their signatures;

        iii. In mid-2021, NDIS participant Barry MacDonald was provided a service agreement by Forward Focused Group Pty Ltd that contained a signature that is not his and that includes the signature of V REID;

        iv. The service agreement for Ziah O'Reilly was signed by Ms Norman and not by her nominee; and

        v. Service agreements for Levi Jetoh were signed without the knowledge or authority of his nominees, Ms Jerusha Jetoh and Mr Monbo Jetoh.

    b. NDIS participants' plans were claimed against by other providers including Hybrid Hive Pty Ltd, without knowledge of any service delivery by both providers, nor with their consent. V REID and R ALAM engaged in this fraudulent conduct, including

submitting inappropriate and false claims to the NDIA and plan managers for supports and services not provided to participants.

V REID was central to this conduct, including in respect of responding to enquiries made by participants where concerning claim activities were identified. More specifically:

i. The following NDIS participants entered into a service agreements with Forward Focused Group Pty Ltd. Claims were made by Hybrid Hive Pty Ltd against their NDIS plans, in circumstances in which the participants or their nominees had not executed a service agreement with Hybrid Hive Pty Ltd and where the claims had not been authorised by those NDIS participants or their nominees:

   - Mr Bassam Haidar (Mr Haidar);
   - Ms Amber Wilson (Ms Wilson), nominee for her children's NDIS plans;
   - Ms Gina Regali (Ms Regali), nominee for her children's NDIS plans;
   - Mr Hrimnir Benediktsson; and
   - Ms Jessica Harrison, nominee for child's NDIS plan.

ii. Ms Regali further raised concerns with Mr Blake Sadler (Mr Sadler), a support coordinator employed by Forward Focused Group Pty Ltd, concerning invoices for services not delivered. Mr Sadler sent a text to Ms Regali stating Forward Focused Group Pty Ltd was 'changing the dates on the December Hive invoice'.

iii. Jessica Harrison further raised her concerns with Mr Sadler, who advised her that 'it was fine' and to tell her plan manger to pay the invoices. Mr Sadler also advised that he would find out why Hybrid Hive Pty Ltd was claiming against Charlie Harrison's plan, for which Mr Sadler did not provide any further information.

iv. NDIS participant Alexis Bott did not enter into a service agreement with Forward Focused Group Pty Ltd nor receive any services. When Ms Bott's plan manager raised concerns over claims made against her NDIS plan by Forward Focused Group Pty Ltd, Ms Bott spoke to V REID who claimed that it was a clerical error.

v. Ms Marish Cimafranca (Ms Cimafranca), nominee for NDIS participant Miah Cimafranca, entered into a service agreement with Forward Focused Group Pty Ltd. When Ms Cimafranca questioned claims made for provider travel with V REID, V REID advised her that she would 'fix it'.

vi. Forward Focused Group Pty Ltd submitted falsified claims against the NDIS plan of Yvonne Harrison (Ms Harrison) dated 8 February 2022 for $4,823 and $6,233.17 that were backdated to before Ms Harrison was a client of Forward Focused Group Pty Ltd and for services not delivered. Ms Harrison raised concerns with V REID who advised Ms Harrison that she would deal with the invoices.

vii. R ALAM inflated invoices for cleaning services provided to NDIS participant, Ms Susan Sheperd and when questioned by Ms Danica Hall (Ms D Hall), a

former employee of Forward Focused Group Pty Ltd, R ALAM lied to staff about the basis for inflating such invoices.

viii. Forward Focused Group Pty Ltd placed the names of staff members on invoices to support claims that services were delivered, including in circumstances in which staff named had ceased employment. For example, Sally See was included on multiple invoices alleging the delivery of services by her after she had ceased employment on 5 April 2022.

ix. Claims were fraudulently submitted by and paid to Forward Focused Group Pty Ltd and/or Hybrid Hive Pty Ltd for services not delivered, including in respect of:

- The NDIS plans of Ms Wilson's children for capacity building and training in self-management and plan management and house cleaning and other household activities;
- The NDIS plan of Ms Clulow, specifically:
    - Invoice 1217 for $3,127.50 which was questioned by Ms Clulow. V REID advised there was an extra charge for tax, above the $2,470.00 amount Ms Clulow claims is the correct figure;
    - All claims for short term accommodation;
    - All claims by Forward Focused Group Pty Ltd for community access, house cleaning, assistance with self-care activities and community participation;
    - All claims for dates in which other providers had already claimed;
    - All claims for self-management building capacity;
    - All claims for psychology during March and April 2022, excluding one hour per week in March 2022;
    - Invoice 1146-1; and
    - Invoice 1375-1.
- The NDIS plan of NDIS participant, Seyed Yunus Hashimi, for services allegedly delivered whilst he was overseas;
- The NDIS plan of NDIS participant, Mr Andrew Hahn (Mr Hahn), for psychosocial counselling, assistance with self-care activities and capacity building and training in self-management and plan management; and
- The NDIS plan of NDIS participant, Ms Angela Cutler, for assistance with self-care, capacity building and training in self-management, assessment recommendation – other therapy and community access.

Particulars of further information that the Commission holds in respect of falsified and inappropriate claims made by Focused Group Pty Ltd and/or Hybrid Hive Pty Ltd against the NDIS plans of other NDIS participants are as follows:

| NDIS Participant | Description of fraudulent claims |
|---|---|
| **Barry MacDonald** | Household cleaning and other household activities claimed to have been delivered between 1 May 2021 and 17 July 2021 |
| **Bassam Haidar** | Claims for house cleaning, provider travel, access to community social and recreational, counselling, self-managed capacity building, short term accommodation or respite, assistance with self-care, assistance with decision making and low-cost AT – personal care and safety. |
| **Ziah O'Reilly** | Claims for training in plan management and financial management, assessment recommendation – therapy and support coordination |
| **Angelus Regali-Park**<br>**Indiana Regali-Park** | Claims for short term accommodation, self-management capacity building, support coordination and house cleaning and other household activities. |
| **Hayden Trantham** | Claims for assessment recommendation – therapy and/or training on 12 to 14 August 2022, counselling, psychosocial recovering coaching and provider travel. |
| **Hrimnir Benediktsson** | Claims for assistance with self-care activities, access community, social and rec activities. |
| **Levi Jetoh** | Claims for counselling, delivery of health supports by a registered nurse – weekday daytime for 25 to 26 May 2021 |
| **Charlie Harrison** | Claims for self-management capacity building, psychosocial recovery coaching, counselling, assistance with self-care activities, specialised behavioural intervention support, assessment recommendation therapy and/or Training, skills development training, innovative community participation and support coordination. |
| **Ben Dines** | 11 hours of household cleaning |
| **Bekki Mulock** | 62 hours of household cleaning totalling $1,556.20 and $1,528.30, support coordination |
| **Georgios Taraganis**<br>**Liz Odi** | 250.8 hours of house cleaning between 15 September 2021 and 26 October 2021 totalling $12,590.16, 178.88 hours of house cleaning between 20 and 31 August 2021, self-management capacity building including invoices 124-1 and 125-1, establishment fee for personal care/participation including invoices 519-1 and 545-1, counselling including invoices 313 and 277-1, assistance with self-care activities including invoices 277-1 and 273 and self-management capacity building under invoice 396. |

| NDIS Participant | Description of fraudulent claims |
|---|---|
| **Miah Cimafranca** | Claims for provider travel, assessment recommendation therapy and/or training and counselling. |
| **Marisha Lombard** | Claims for short term accommodation, access community, social and rec activities, counselling, psychology services and house and/or yard maintenance. |
| **Meghan Goodwin** | Claims for self-managed building capacity, house and yard maintenance. |
| **Janine Craig** | Claims for capacity building and training in self-management and plan management, assistance with decision making daily planning and budgeting skills, development and training and assessment recommendation therapy or training – counsellor. |
| **Paul Gilbert** | Claims for skills development and training and support coordination. |
| **Sarah-Jane Hammond** | Claims for capacity building and training in self-management and plan management. |
| **Yvonne Harrison** | Claims for psychosocial recovery coaching, services claimed to have been delivered on weekends and public holidays, claims for all services prior to December 2021, claims for cleaning services, short term accommodation, employment support and more than 4 hours of assistance with self-care activities in any given day or by more than one person. |

c. Forward Focused Group Pty Ltd and Hybrid Hive Pty Ltd, under V REID's direction, submitted falsified and inappropriate claims against the expiring or expired NDIS plan of NDIS participants, with the objective of exhausting funds in those NDIS plans. More specifically:

   i. Invoices were issued weekly against the expired NDIS plan of Ms Goodwin, for services not provided by Forward Focused Group Pty Ltd or Hybrid Hive Pty Ltd;

   ii. Invoices were issued by Hybrid Hive Pty Ltd against the expired NDIS plan of Ms Harrison for alleged services occurring in March 2021. Ms Harrison commenced services with Forward Focused Group Pty Ltd in November 2021 and with Hybrid Hive Pty Ltd in March 2022;

   iii. Ms D Hall alleges that V REID and R ALAM planned and fraudulently invoiced against the expired NDIS plan of Mr Haidar for counselling services not delivered, as well as for $54,254.92 of cleaning and support work not delivered to Mr Haidar;

   iv. 14 invoices were issued by Hybrid Hive Pty Ltd against the expired NDIS plan of Ms Janine Craig for alleged services delivered but for which there was no record held by Hybrid Hive Pty Ltd;

v. V REID directed Ms D Hall to submit claims against the expired NDIS plan of Ms Clulow for services delivered on dates for which Forward Focused Group Pty Ltd had already submitted claims; and

vi. Ms Norman alleges that V REID would engage in 'invoice bombing', meaning accessing expiring NDIS plans to submit invoices to claim remaining funds through plan management agencies.

d. Forward Focused Group Pty Ltd and Hybrid Hive Pty Ltd, under V REID and R ALAM's direction, authorised payments of invoices on behalf of participants, without their consent. This resulted in NDIS participants' management of their NDIS plans being undermined and funds being exhausted without their knowledge. More specifically:

i. Forward Focused Group Pty Ltd made claims for self-managed capacity building against the NDIS plan of Mr Haidar, services not delivered. In raising concerns about these claims with Forward Focused Group Pty Ltd and V REID, R ALAM advised he would authorise invoices on Mr Haidar's behalf, for which Mr Haidar did not provide consent;

ii. Ms D Hall raised concerns with R ALAM concerning the validity of invoices raised for which R ALAM then took responsibility and issued;

iii. Ms Regali was advised by her plan manager that invoices for dates in January 2022 were accompanied by an email from R ALAM stating 'we have been advised by the participants have approved the invoice'. Ms Regali confirmed that she had not authorised the invoices;

iv. Jessica Harrison is the only person with permission to authorise payments against the NDIS plan of Charlie Harrison. Jessica Harrison has not authorised claims made and paid against Charlie Harrison's plan, including a claims by Infinity Living Options Pty Ltd, an entity for which she has no knowledge; and

v. Ms Clulow was contacted by V REID who questioned Ms Clulow why she was authorising claims through the application 'Careview'. V REID told Ms Clulow she should not be authorising invoices as she didn't 'have the capacity'. V REID then asked for Ms Clulow's PIN number so she could access her Careview account to which Ms Clulow refused.

e. Forward Focused Group Pty Ltd staff under V REID's direction, used aggressive marketing tactics to influence participants to engage in activities such as cruises, including misrepresentations of services provided and costs associated.

Further, Forward Focused Group Pty Ltd and Hybrid Hive Pty Ltd staff, under V REID's direction, engaged in aggressive claiming activities against the NDIS plans of NDIS participants, making inappropriate and falsified claims for supports and services not delivered. In circumstances in which NDIS plans of participants could no longer be inappropriately claimed against, Forward Focused Group Pty Ltd exited such participants from their services. Specifically:

i. Ms D Hall, was instructed and pressured by V REID to make phone calls to all participants concerning a river cruise for which $7,500 was to be charged against the NDIS plans of participants, including in circumstances in which participants had already declined. V REID instructed Ms D Hall and other support coordinators to charge 15 minutes of support coordination for each phone call against NDIS plans of participants. Ms D Hall further considered this harassment of participants;

ii. Ms Janine Hall (Ms J Hall), a former employee of Forward Focused Group Pty Ltd, was also directed by V REID to call NDIS participants to harass for attendance at a New Year's Eve cruise. If participants declined, they were placed on the list of another employee to be called. Ms D Hall was instructed by V REID to 'bill' for these phone calls for support coordination, even if phone calls were unanswered;

iii. Ms D Hall states that she was trained to send invoices for services not provided, send invoices to claim funds from expired plans for services not provided and alter dates on invoices to claim from plans that had funding left in them;

iv. Ms D Hall alleges participants Andrew Hahn, Madeline Robinson, Suzanne Sheperd, Alexsis Bott, Corina Abraham and Ms Clulow were exited from Forward Focused Group Pty Ltd, when Forward Focused Group Pty Ltd was no longer able to inappropriately claim against their NDIS plans;

v. Ms Norman was directed by V REID to record more hours than the time actually required to provide support coordination, Ms Norman advises 'this was constant; she would call us dumb and tell us we're putting our jobs in jeopardy by not doing what we're told regarding the hours, and that we didn't understand how the NDIS worked';

vi. Ms Roberts alleges that V REID inflated claims for short term accommodation with the amount charged to Forward Focused Group Pty Ltd being $240, but NDIS participants charged 1:1 Respite/STA $1775 per weekday;

vii. Ms Roberts further alleges V REID directed support coordinators to 'bill participants at least 15 hours per day' and that once this had been achieved, staff would receive 50% of the charge as a bonus;

viii. Ms Wilson felt pressured by Forward Focused Group Pty Ltd, under direction of V REID, into attending what was represented to her as 'free fun activities', including a flower arrangement course and a 'Beer and Beef Festival', despite her son being 13 years old. Despite declining, her children's plans were claimed against by Forward Focused Group Pty Ltd for those activities;

ix. Ms Wilson further received invoices from Forward Focused Group Pty Ltd for services after she had ceased services prior to December 2021. This included in respect of a 'Sea Dream Valentine's Day Cruise' that occurred on 13 February 2022;

x. Ms Candice Yavarzadeh-Tehrani, nominee for NDIS participant, Ziah O'Reilly, received a phone call from Forward Focused Group Pty Ltd to identify if she wanted to engage Forward Focused Group Pty Ltd again, three months after ceasing services, who then issued her with an invoice of $150 for the phone call;

xi. Forward Focused Group Pty Ltd made claims against the NDIS plan of NDIS participant Ms Marish Lombard (Ms Lombard), a Valentine's Day cruise for which she did not attend and for which it was not communicated to Ms Lombard that her NDIS plan would be charged;

xii. Ms Lisa Mulock (Ms Mulock), nominee for Bekki Mulock, alleges she was harassed by V REID and Forward Focused Group Pty Ltd, including phone repeated calls from V REID as late as 10:00 pm at night. This included calls to

attend cruises by a number of Forward Focused Group Pty Ltd staff. Ms Mulock blocked calls due to there being 'no professional boundaries'; and

xiii. Ms Karen Marasigan (Ms Marasigan), Head of Compliance for Zettai Pty Ltd, trading as Assist Plan Managers, met with V REID in January 2022 to discuss recurring issues with invoices submitted by Forward Focussed Group Pty Ltd, including:

1. Line items in newly submitted invoices were already claimed in previous invoices;
2. Invoices with item codes not matching with service booking item codes; and
3. Invoices rejected by client due to services not provided.

During this meeting, V REID agreed to cooperate to address the issues and attributed lack of training as a reason for the issues set out above.

f. V REID frequently engaging in bullying, harassment and intimidation through both veiled and direct threats directed at NDIS participants and Forward Focused Group staff. This alleged conduct towards NDIS participants and staff have created an environment whereby NDIS participants and staff do not feel supported or safe to raise any concerns they have about the quality and safety of supports provided by Forward Focused Group Pty Ltd. Further, NDIS participants have felt threatened in exercising their independence and informed choice in relation to the supports provided. More specifically:

i. Ms Wilson was contacted in December 2021 by V REID who threatened to sue Ms Wilson for 'slander and unpaid invoices';

ii. Ms Clulow alleges that V REID told her that her husband, Mr Reid, was 'an ex-navy seal and he could make me disappear and I would never be found'. Ms Clulow further alleges that V REID threatened to have 'her NDIS funding removed' and that Ms Clulow would need to 'pay everything back';

iii. Across May and June 2022, Forward Focused Group Pty Ltd attempted to obtain control of participant funds and participants supports for participant Alexsis Bott. When the participant confirmed, in writing that they didn't want to take the action to release their funds from the existing manager V REID wrote "we will be terminating your services with us effective immediately";

iv. Series of emails 24 June 2022 to 19 June 2022 regarding participant Ms Clulow advising a four week notice for service termination. The emails show that Ms Clulow was seeking review of an invoice for services not received;

v. On 1 July 2022, V REID responded to an account statement from a supplier stating that, 'we will no longer pay any invoices for Sarah. She has terminated her contract with us';

vi. Series of emails 15 June 2022 to 19 June 2022 regarding NDIS participant, Ms Corina Abraham (Ms Abraham) ceasing some services with Hybrid Hive Pty Ltd. Ms Abraham sought to meet to discuss their concerns. By email dated 19 June 2022, V REID purports to cease support coordination and terminate the contract for all services with immediate effect. The email

claims 'ongoing abusive manner of our staff by yourself and the break in trust' as the grounds. The email includes a perceived threat that invoices are to be paid immediately or be reported to the NDIS;

vii. Email 16 June 2022 sent by V REID to Ms Abraham, provides that the support worker has a non-compete and non-disclosure contract which will prevent her for working privately for the participant. It also states that if the participant had 'come to us in good faith...I would have said okay'; and

viii. Email 16 June 2022 sent by V REID to participant, Ms Abraham, 'I would like all of your outstanding invoices paid immediately please or I will report this to the NDIS'.

**Basis for making a banning order**

Based on the matters listed above, my preliminary view is that the banning order should prohibit Malibuhouse Pty Ltd from being involved in the provision of services and supports to people with disability for a period of ten (10) years.

The conduct set out above, engaged in by V REID, S REID and R ALAM, persons who have authority or responsibility for (or significant influence over) planning, directing or controlling the activities of Malibuhouse Pty Ltd, strongly suggests that Malibuhouse Pty Ltd is not suitable to provide supports or services to people with disability for the following reasons:

- Section 3 of the NDIS Act contains the objects of the NDIS Act, which includes:
    - supporting the independence and social and economic participation of people with disability;
    - enabling people with disability to exercise choice and control in the pursuit of their goals and the planning and delivery of their supports;
    - promoting the provision of high quality and innovative supports that enable people with disability to maximise independent lifestyles and full inclusion in the community; and
    - protecting and prevent people with disability from experiencing harm arising from poor quality or unsafe supports or services provided under the NDIS.
- In giving effect to the objects of the NDIS Act:
    - section 3(3)(b) of the NDIS Act requires regard to be had to the need to ensure the financial sustainability of the NDIS. Similarly, as set out in section 4(17) of the NDIS Act, it is the intention of Parliament that the Commissioner, amongst others, have regard to the need to ensure the financial sustainability of the NDIS in performing functions and exercising powers under the NDIS Act;
    - sections 4(4) and 4(6) of the NDIS Act, provide principles guiding actions under the NDIS Act including:
        - People with disability should be supported to exercise choice, including in relation to taking reasonable risks, in the pursuit of their goals and the planning and delivery of their supports; and

- People with disability have the same right as other members of Australian society to respect for their worth and dignity and to live free from abuse, neglect and exploitation.

- It is my view based on the conduct set out above that V REID, S REID and R ALAM, and the entities for which they had responsibility and authority, have acted in a manner that is contrary to these guiding principles, as well as the objects of the NDIS Act, and in circumstances have deliberately undermined those principles. More specifically:

    - V REID, S REID and R ALAM engaged in conduct and were responsible for the conduct of Forward Focused Group Pty Ltd and Hybrid Hive Pty Ltd staff, which limited NDIS participants from exercising their choice and control over their own supports and services, and acted without their consent or authorisation to make decisions about the engagement of supports and services under their NDIS plans. This conduct is serious, and has had significant impacts on the health and wellbeing of participants, particularly where deliberate conduct has been engaged in to subvert the authority of NDIS participants and their nominees;

    - V REID and R ALAM have deliberately engaged in and directed Forward Focused Group Pty Ltd staff to engage in aggressive and dishonest conduct, including the submission of falsified claims for supports and services against NDIS plans, driving a culture of inflating claims and hours for services delivered, authorising payments without participant consent and entering into new service agreements without the knowledge or consent of NDIS participants and their nominees; and

    - The conduct set out above and the offences for which V REID has been charged, presents significant risks to the financial sustainability of the NDIS, as well as to NDIS participants, as victims of fraud. Such conduct takes funds from NDIS participant plans, stopping participants from being able to purchase the supports and service they genuinely need. Further, fraud makes it harder for participants to pursue their goals and outs additional pressures on carers, family, friends and support networks.

Therefore, I have formed the preliminary view that allowing Malibuhouse Pty Ltd to provide supports or services to people with disability poses a risk to people with disability. My view is that is that the need to protect the interests of people with disability, who may be particularly vulnerable, and ensure that they are kept safe, requires that in matters of this kind, a provider whose key personnel has engaged in conduct detailed above, must be prevented from delivering supports and services to people with disability. My preliminary view is that Malibuhouse Pty Ltd is not currently suitable to provide supports or services to people with disability.

**Opportunity to make submissions**

I have not made a final decision in respect of this matter and I will not do so until Malibuhouse Pty Ltd has had an opportunity to make submissions in writing to me. This gives Malibuhouse Pty Ltd the opportunity to tell me anything it believes may be appropriate to bring to my attention, to dispute any of the facts of this matter or to comment on the seriousness of it.

Section 73ZN(7) of the NDIS Act provides that the Commissioner may only make a banning order against a person after giving the person an opportunity to make submissions to the Commissioner on the matter.

You will be notified in writing of any decision made in relation to the proposed banning order.

Should Malibuhouse Pty Ltd wish to make a submission about the proposed banning order against it, please do so in writing and either:

- Deliver by hand or post to:

  NDIS Quality and Safeguards Commission
  Level 1, 200 St Georges Terrace, Perth WA 6000
  Marked for the attention of:
  Compliance Western Australia

  or

- email to wacompliance@ndiscommission.gov.au

In order to have any written submission considered in my decision-making please ensure that the submission is sent to the email address, delivered to the street address or arrives at the postal address as set above, **by no later than 5 pm (AWST) on 30 November 2022.**

If a submission is not received from Malibuhouse Pty Ltd by this time, I will proceed to make my final decision. Malibuhouse Pty Ltd may wish to seek legal or other professional advice before deciding whether to make a submission.

**NDIS Provider Register**
As set out in section 73ZS of the NDIS Act, the NDIS Provider Register must include certain information in relation to a person against whom a banning order is in force.

The information that must be included on the NDIS Provider Register is:

- The name of the person;
- The person's ABN (if any);
- Information about the banning order.

The Commissioner must not publish a part of the NDIS Provider Register if the Commissioner considers that its publication would be contrary to the public interest, or the interests of one or more persons with disability receiving supports or services.

Should I decide to make a banning order against Malibuhouse Pty Ltd, information about the banning order will be included on the NDIS Provider Register and published on the NDIS Commission's website. Malibuhouse Pty Ltd may wish to include submissions on this.

Yours sincerely

Philip Halton
**Branch Head, Operations - North Central West**
**NDIS Quality and Safeguards Commission**

17 November 2022